

Defence expenditure as a share of total government spending reaches its highest level in twenty years

- **In 2024, the share of total government spending on defence hit its highest level in twenty years.**
- **More than 50% of government expenditure goes to social protection and healthcare.**
- **The share of government spending on interest payments is growing again, driven by rising public debt and higher interest rates.**

Defence spending is increasing substantially for the first time in a long while, according to the latest figures on annual government spending. In 2024, it reached its highest level in twenty years and now accounts for 2.4% of total government expenditure. The increase is being driven primarily by purchases of military equipment, such as new F-35 fighter jets.

Social protection - including pension, sickness and unemployment benefits - remains the largest category of government expenditure, with a share of 38%. Healthcare comes in second place, accounting for 15%, followed by general public services with 13%. Expenditure on education remains stable and represents 12% of the total, as does expenditure on economic affairs, which includes labour market policy, road infrastructure and public transport. The remaining categories each account for less than 5% of total expenditure.

The share of expenditure on social protection is increasing, as is, to a lesser extent, that on healthcare. Pension benefits, for example, account for an increasingly substantial share of total expenditure, and the share of sickness and disability benefits is also rising. The proportion devoted to unemployment benefits is, on the other hand, in decline and has more than halved in twenty years.

Share of spending on interest payments on the rise again

In years past, the share of expenditure on general public services dropped steadily as a result of declining interest expense on public debt. However, this share is now rising again due to growing public debt and higher interest rates. Having fallen from around 10% of total expenditure in 2004 to 3.2% in 2022, it picked up again in 2024, climbing to 4.3%.

The National Accounts Institute (NAI) publishes annually statistics on government expenditure by function and transaction, compiled in accordance with COFOG.¹ The classification breaks down government expenditure into ten basic functions with a total of 69 subcategories, based on the main purpose of the expenditure, and allows for detailed comparisons to be made of spending at different levels of government in Belgium.

¹ Classification of the Functions of Government (COFOG) is a classification defined by the United Nations Statistics Division.

TABLE 1: EXPENDITURE BY FUNCTION AND TRANSACTION
(in € million, unless stated otherwise)

	2004		2009	2014	2019	2024	
Total expenditure	146 388					335 288	
General public services	28 270	19.3%	16.8%	15.3%	13.3%	13.2%	44 306
<i>Interest expense</i>	14 607	10.0%	7.5%	6.3%	4.2%	4.3%	14 476
<i>General public services (excluding interest expense)</i>	13 663	9.3%	9.3%	9.1%	9.1%	8.9%	29 830
Defence	3 253	2.2%	1.8%	1.6%	1.5%	2.4%	7 946
Public order and safety	4 882	3.3%	3.4%	3.2%	3.2%	3.2%	10 648
Economic affairs	13 833	9.4%	12.4%	13.2%	12.8%	11.9%	39 854
Environmental protection	2 594	1.8%	2.0%	2.4%	2.5%	2.1%	7 176
Housing and community amenities	1 366	0.9%	0.7%	0.6%	0.7%	0.7%	2 401
Health	20 459	14.0%	14.3%	14.4%	14.4%	14.8%	49 580
Recreation, culture and religion	3 764	2.6%	2.4%	2.3%	2.5%	2.3%	7 552
Education	16 709	11.4%	11.1%	11.3%	11.8%	11.7%	39 284
Social protection	51 258	35.0%	35.1%	35.5%	37.2%	37.7%	126 541
<i>Sickness and disability</i>	7 285	5.0%	5.0%	5.6%	6.6%	7.2%	24 255
<i>Old age and survivors</i>	26 899	18.4%	18.2%	19.3%	21.1%	21.4%	71 792
<i>Unemployment</i>	7 815	5.3%	4.8%	4.0%	2.5%	2.0%	6 575
<i>Other</i>	9 259	6.3%	7.1%	6.7%	7.0%	7.1%	23 919

Defence spending explained

Belgium has committed to its partners to substantially increase its defence spending in the coming years. At the 2025 The Hague NATO summit, member countries agreed to raise the annual defence spending target from 2% to 5% of GDP by 2035 at the latest. The 5% commitment consists of two components: at least 3.5% of GDP must be spent on “core defence”, such as equipment and personnel, while the remaining 1.5% can be used to cover defence-related costs, such as critical infrastructure.

The EU Member States have also been given the option to activate a national escape clause (NEC) under the European fiscal framework.² The budgetary flexibility permitted by the NEC is clearly defined in order to safeguard the sustainability of public finances in the medium term. Annual spending on defence is limited to 1.5% of GDP, having regard to the net expenditure path set by the Ecofin Council under the fiscal framework. The increase in defence spending allowed by the NEC is calculated relative to reference year 2021 and is capped at 1.5% of GDP for each year the clause applies. This flexibility is available for a period of four years, starting in 2025. The COFOG classification is applied to identify defence expenditure. Increased expenditure in other categories is also allowed under the flexibility offered by the NEC, provided it is financed by the European Commission’s new instrument for Security Action for Europe (SAFE).³

The two concepts used in these discussions – “core defence” expenditure under the new commitment made by NATO allies, for which the target is 3.5% of GDP, and the COFOG definition of defence – display strong similarities but differ significantly in certain years. Both include expenditure on salaries and pensions for defence personnel and defence-related government institutions, as well as investment in military equipment and other operating costs. Military aid to Ukraine in the form of transfers (e.g. ammunition and other equipment) is also included in defence expenditure. Nevertheless, there are substantive and methodological differences between them.

² See the European Commission’s [Communication](#) on this subject.

³ [Security Action For Europe](#)

Figure 1 – NATO and COFOG defence expenditure in Belgium

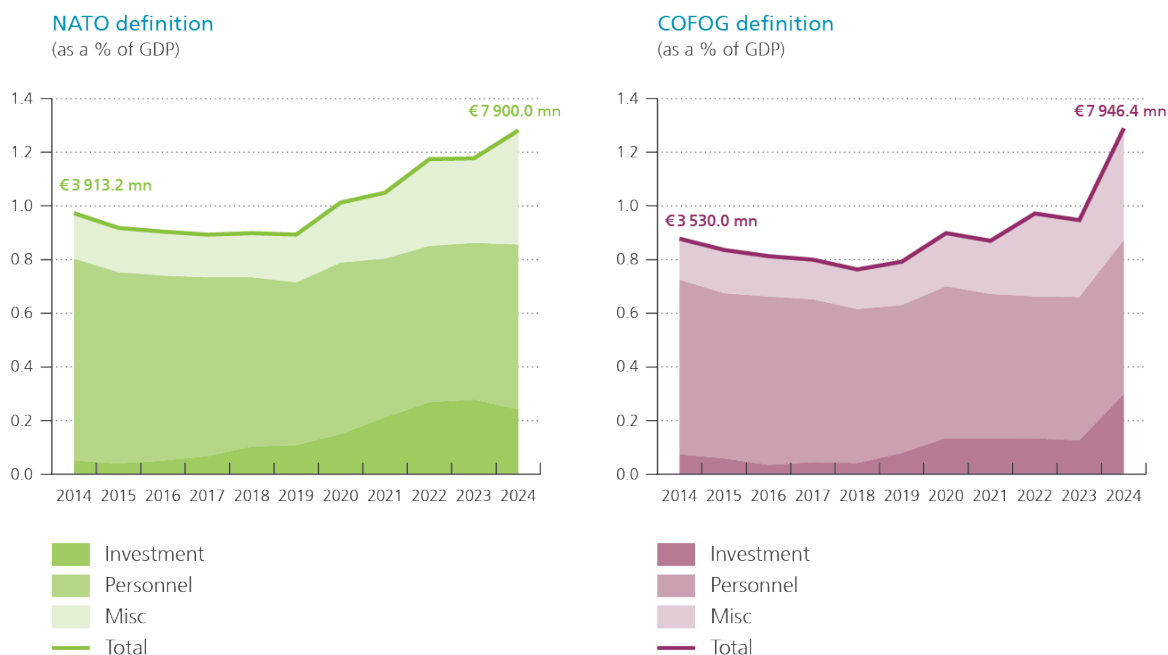


Figure 1 shows the trend in defence expenditure according to these two concepts. For both definitions, defence spending declined between 2014 and 2018 and then stabilised, after which, under the NATO definition, it systematically increased as from 2020, reaching 1.3% of GDP in 2024. Defence expenditure as per COFOG remained below 1% of GDP until 2023, before also reaching 1.3% of GDP in 2024.

The differences cannot be explained by the raw data, which are provided by the federal government in both cases. However, there are a number of systematic methodological differences.

- The timing of the recognition of expenditure is the main difference between the two concepts. Under the NATO definition, actual (advance) payments by government are recognised, while under the COFOG definition, government expenditure is only recognised upon delivery of the goods/services. Thus, the timing of recognition can vary significantly, particularly in the case of investments such as the purchase of aircraft or ships. The growing divergence between 2020 and 2023 is due, among other factors, to the significant advances paid for F-35 fighter jets as from 2020, which are included only under the NATO definition as the first aircraft was not delivered until the end of 2024. This resulted in a sharp increase in COFOG defence expenditure that year.
- The NATO definition also includes financial transactions, meaning it covers the acquisition of financial assets in the defence sector, whereas this is not considered government expenditure under the COFOG definition. This is not currently leading to significant differences.
- R&D expenditure by domestic military personnel is double-counted under the COFOG definition: first as wages (and possibly intermediate consumption) and then as investment when the research costs are capitalised. In the government accounts, this double expense is offset by recording a receivable in the form of production for own use, but since only expenditure is taken into account under COFOG, this offsetting entry is not factored in. However, the impact is currently not significant.
- Wage and pension expenditure is slightly higher under the NATO definition than under the COFOG concept.⁴ This is because the NATO definition encompasses a larger range of social security benefits.

Finally, no information can be extracted from the COFOG statistics with regard to the second component of the NATO commitment, namely, annual expenditure of up to 1.5% of GDP on defence-related areas such as critical infrastructure, given that this expenditure is recorded under its main purpose. For example, the construction or modernisation of railway infrastructure, which could also be used to transport military equipment, is fully accounted for as investment in transport in the COFOG statistics.

⁴ Under the COFOG definition, pensions are not allocated to defence expenditure, but due to the concept of imputed social contributions, they are implicitly included in the wage bill for defence expenditure.